

Table I: The Tax Structure in the U.S. - Selected Years

	1952			1960		
	FEDERAL	LOCAL & STATE	Billions of \$	FEDERAL	LOCAL & STATE	Billions of \$
	of total of \$	of total of \$	% of total of \$	of total of \$	% of total of \$	% of total of \$
Income Tax	30.14	33.40	1.00	41.84	29.90	2.54
Contributions for Social Insurance	7.42	8.20	1.55	17.62	12.60	3.44
Corporate Profit Tax	18.57	20.60	0.83	21.45	15.40	1.25
Estate and Gift Taxes	0.84	0.90	0.22	1.76	1.30	0.48
Personal Non-taxes and Other Taxes	0.05	0.10	1.06	0.04	0.03	2.17
Motor Vehicle Licences			0.45			0.97
Indirect Business Taxes	10.30	11.40	9.02	13.43	9.60	15.72
Property Taxes			8.65			16.79
Government Administered Liquor Stores and Parimutuels			0.00			0.00
Level's Totals	67.32	74.70	22.79	96.24	68.90	43.36
General Total		90.105			139.497	

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	1970			1980		
	FEDERAL	LOCAL & STATE	Billions of \$	FEDERAL	LOCAL & STATE	Billions of \$
	of total of \$	% of total of \$	of total of \$	of total of \$	% of total of \$	of total of \$
Income Tax	88.84	29.30	11.11	3.60	250.73	29.80
Contributions for Social Insurance	49.35	16.20	9.24	3.10	174.07	20.70
Corporate Profit Tax	30.62	10.10	3.55	1.20	70.26	8.40
Estate and Gift Taxes	3.68	1.20	1.08	0.40	6.57	0.80
Personal Non-taxes and Other Taxes	0.09	0.02	8.29	2.70	0.23	0.02
Motor Vehicle Licences			1.87	0.60		3.44
Indirect Business Taxes	10.30	6.30	38.31	12.60	38.86	4.60
Property Taxes			37.51	12.40		69.62
Government Administered Liquor Stores and Parimutuels			0.05	0.02		1.23
Level's Totals	191.87	63.30	111.01	32.70	540.77	64.40
General Total			302.883			839.189

workers. The ratio of total labor income to adjusted personal income, which I term labor share, is used to determine the portion of income taxes paid by workers. Adjustment in this context implies "total personal income" minus "imputed income". Calculations of the labor share for the years 1952-1980 are given in Table II.

"Labor share" as a proxy is extensively utilized throughout this study, especially in allocating various taxes. Consequently, any over or underestimation of labor share makes our empirical findings regarding taxes first, and then, net-taxes paid by labor less accurate. In his unpublished research, Tom Weisskopf also attempts to estimate the labor share in federal income taxes for the period between 1948-1979.¹⁰ This method of estimation of the total federal income taxes paid on wage and salary income can be summarized as follows.¹¹ First, he takes the figures of adjusted gross income, income tax paid and various sources of income. Second he calculates the effective tax rate for each income bracket by dividing income tax after credits by adjusted gross income - using data for taxable returns only. Third, for each income bracket he multiplies the amount of wage and salary income by the effective tax rate for that income bracket to obtain the amount of taxes paid on labor income. Fourth, he sums over all of the tax brackets the above amounts to obtain the total IRS -

based amount of taxes paid on wages and salaries. Fifty, he multiplies the IRS-based figures calculated as above by a 'conversion ratio' equal to NIPA Federal personal income tax receipts divided by IRS total income tax after credits, paid on labor income. The figures given in the first two columns of Table III are Weisskopf's NIPA-adjusted total federal income taxes and the amount of taxes paid by wage and salary earners estimated according to the above method.

Comparison between my labor share estimates (Table II, column 5) and Weisskopf's (Table III, column 3) demonstrates that the former are considerably lower than the latter except the first five-year period, 1952-1956. Therefore, there can be no overestimation of the taxes paid by labor due to the method of estimation of labor shares.

However, there is an additional issue of whether we can legitimately consider all wage and salary earners as members of the working class given that some of the wage and salary earners are actually non-workers, e.g., executives, etc. In calculating labor shares, we used the category of total labor income consisting of wage and salary disbursement, and other labor income (which includes employer contributions to private pension and welfare funds, and directors' fees). On the basis of this category we calculated the labor share, for example, in 1980 as 71 per cent. The question now

Table II: Calculation of Labor Share, 1952-80

Year	(1) Total Labor Income	(2) Personal Income	(3) Imputed Income in Personal Income	(4) Adjusted Personal Income (2)-(3)	(5) Labor Share (1)/(4)
1952	190.543	271.772	10.427	261.35	.73
1953	204.498	287.688	11.433	276.26	.74
1954	202.910	289.603	12.129	277.47	.73
1955	218.691	310.341	12.337	298.00	.73
1956	236.397	332.577	12.634	319.94	.74
1957	248.293	351.017	13.085	337.93	.73
1958	249.898	361.146	13.576	347.57	.72
1959	269.509	384.429	14.690	369.74	.73
1960	283.152	402.346	15.848	386.5	.73
1961	291.286	417.816	16.309	401.51	.73
1962	311.081	443.626	17.023	426.60	.73
1963	327.346	466.199	17.932	448.27	.73
1964	351.858	499.204	18.358	480.85	.73
1965	379.845	540.653	19.425	521.23	.73
1966	418.258	588.167	21.420	566.75	.74
1967	448.623	629.990	22.888	607.1	.74
1968	494.818	690.604	23.610	666.99	.74
1969	544.132	754.673	25.239	729.43	.75
1970	581.220	811.088	26.745	784.34	.74
1971	617.633	868.448	27.159	841.29	.73
1972	678.221	951.353	27.992	923.36	.73
1973	751.488	1065.183	30.697	1034.49	.73
1974	821.591	1168.593	34.184	1134.41	.72
1975	870.912	1264.963	38.703	1226.26	.71
1976	965.790	1391.192	40.241	1350.95	.71
1977	1072.594	1540.407	41.376	1499.03	.72
1978	1208.789	1732.673	48.593	1684.08	.72
1979	1352.529	1951.170	54.545	1896.63	.71
1980	1483.370	2160.401	59.299	2101.10	.71

a. NIPA, Table 2-1, line 2 = line 8. In billions of dollars.

b. Ibid., Table 2-1, line 1.

c. Ibid., Table 8-3, line 5.

Table III: Comparison of Labor Shares - Weisskopf and Tonak

Year	(1) Total Federal Income Tax	(2) Federal Income Taxes Paid on Wage and Salary Income	(3) Weisskopf's Labor Shares (2)/(1)	(4) Tonak's Labor Shares
1952	30141	21218.5	.70	.73
1953	31273	22925.0	.73	.74
1954	28027	20049.2	.72	.73
1955	30149	21489.8	.71	.73
1956	33847	24262.5	.72	.74
1957	35936	26279.2	.73	.73
1958	35410	25917.5	.73	.72
1959	38466	28042.5	.73	.73
1960	41844	31242.7	.75	.73
1961	42709	31307.8	.73	.73
1962	46531	34723.6	.75	.73
1963	49185	36739.2	.75	.73
1964	46001	34077.1	.74	.73
1965	51080	37151.6	.73	.73
1966	58602	43226.0	.74	.74
1967	64351	47419.2	.74	.74
1968	76491	56238.1	.74	.74
1969	91489	69202.6	.76	.75
1970	88841	69492.5	.78	.74
1971	85652	66390.6	.78	.73
1972	102713	79049.4	.77	.73
1973	109482	84356.0	.77	.73
1974	126350	97882.6	.77	.72
1975	120818	94547.5	.78	.71
1976	141544	110811.8	.78	.71
1977	162739	128016.7	.79	.72
1978	189448	149998.8	.79	.72
1979	224844	176637.1	.79	.71

a. In millions of dollars

b. These are taken from Table 2, column 5.

is whether this figure leads to an overestimation of the actual tax share of the working class in total taxes, i.e., taxes paid by labor, because it implicitly includes non-workers in the category of labor.

One way of checking this possibility of overestimation is to compare out labor shares with the percentages of taxes paid by certain income groups. For example, in 1980 taxable returns with the annual adjusted gross income up to \$49,999 contributed 68.9 per cent of the total federal income taxes (U.S. Bureau of the Census, 1982, p. 257). As noted earlier, we used a figure of 71 per cent of federal income taxes as the working class share based on the procedure described previously. The figure we now get, based on a cutoff point of household incomes of less than \$50,000, is roughly 69 per cent. But this latter figure refers to household income not merely to individual income. Therefore it is quite plausible that at least some have incomes which in 1980 fall in the range of \$50,000 and above.

On this basis, our earlier figure of 71 per cent seems perfectly adequate, and certainly does not suggest any overestimation of the tax share paid by the working class.

In determining the part of taxes paid by labor the same labor share is adopted for the other taxes at state and local level, non-taxes both at the Federal and State and Local levels and motor vehicle licenses.

Table IV: Labor and Non-Labor Portions of Total Taxes - Selected Years*

	1952		1960		1970		1980	
	Labor	Non-Labor	Labor	Non-Labor	Labor	Non-Labor	Labor	Non-Labor
Income Tax	22.734	8.409	32.397	11.983	73.967	25.988	208.425	85.131
Contributions for Social Insurance	8.970		21.058		58.590		203.983	
Corporate Profit Tax		19.399		22.696		34.161		84.652
Estate and Gift Taxes		1.055		2.242		4.764		8.836
Personal Non-taxes and Other Taxes								
Motor Vehicle Licences	1.145	0.242	2.321	0.854	7.581	2.663	23.257	9.499
Indirect Business Taxes		19.318		29.061		57.609		144.616
Property Taxes	1.727	6.924	4.199	12.681	11.201	26.310	20.325	49.290
Government Administered Liquor Stores and Parimutuels	0.000		0.000		0.048		1.225	
Total	34.576	55.529	59.975	79.522	151.339	151.554	445.990	383.249

* In billions of dollars.

Due to the very nature of the taxes and the fact that they are usually paid by non-labor, estate and gift taxes are not attributed to workers at all.

Similarly, since the corporate profit taxes and indirect business taxes are paid totally by non-labor, they cannot be considered as part of taxes imposed on labor income.

On the other hand, "contributions" for social insurance are derived from labor income and as such are entirely attributed to workers.

Concerning property taxes, the property tax paid by house owners is directly available in the NIPA publications. The share of labor income in total adjusted personal income is also used in determining the portion of property taxes paid by labor.

Finally, although it is not a tax as such and is listed on the expenditure side as a part of commercial activities of state and local governments, government administered lotteries and parimutuels has been negative throughout the period 1952-1980 and due to its nature can be attributed entirely to workers. In other words, this item is a kind of government revenue and is derived mostly from the income of workers who play lotteries.

Table IV summarizes the calculated amount paid by labor and non-labor in each tax category and the total taxes for the years 1952, 1960, 1970 and 1980. (The other years are given in Appendix I.) Total taxes paid

by labor and non-labor throughout the period of 1952-1980 are given in Table V.

3. Expenditures: Growth¹² and Structure¹³

Since the main focus of this study is to examine empirically the development of benefits and income received by labor from the State with taxes paid by the same class, it is not a central issue here to deal with the relative importance of the "public sector" in the structure of the U.S. economy. However, since the movement of the total expenditures as a percentage of GNP has traditionally been considered a good indicator of whether the welfare state of advancing¹⁴, it is worth presenting the data in that form as well. Thus, the empirical basis of arguments claiming the existence of a welfare state in the U.S. becomes apparent and can later be compared to my empirical findings.

Table VI presents both data on total government expenditures in the U.S. for the period 1952-1980 and the ratio of total expenditures to gross national product in each year.¹⁵

The general conclusion that can be drawn from Table VI¹⁶ is that there has been growth in the share of the government sector since 1952. However, since 1970 the growth in significance of the public sector as manifested in the ratio of total expenditures to GNP has